

SECTION 1 – MULTIPLE CHOICE (24 MARKS)

Attempt all 24 questions from this section.

1. The economic problem is one of relative scarcity because:
 - (a) Households can't afford to buy all the products they want
 - (b) Resources are limited in relation to consumers' needs and wants
 - (c) Producers supply too many products to consumer goods markets
 - (d) Consumers have a finite income but have infinite needs and wants for goods and services
2. Which one of the following is classified as an economic resource?
 - (a) Income
 - (b) Productivity
 - (c) Production
 - (d) Enterprise
3. The opportunity cost of reading your social media feed would include:
 - (a) The loss of the benefits from spending your time in the best alternative way
 - (b) The loss of the consumer surplus received from your feed
 - (c) The cost of the smart phone data plan
 - (d) The deadweight loss caused by spending time reading the feed
4. A fall in the price of gold will cause, in the long run:
 - (a) A contraction in supply and a movement down the supply curve towards the origin
 - (b) An increase in supply and a shift in the supply curve to the right
 - (c) An expansion in supply and a movement up the supply curve away from the origin
 - (d) A decrease in supply and a shift in the supply curve to the left
5. Which one of the following is most likely to lead to a rise in the sale of electric cars?
 - (a) A lack of recharging stations in rural areas
 - (b) A fall in the price of electric cars
 - (c) A fall in the price of petrol driven cars
 - (d) A fall in the price of petrol
6. Which one of the following is reflected in how much someone is prepared to pay for a surfboard?
 - (a) Producers' willingness to supply surfboards at various prices
 - (b) How much it costs a producer to make a surfboard
 - (c) The marginal benefit a consumer receives from a surfboard
 - (d) The consumer surplus gained by the consumer buying the surfboard

7. Which of the following is true if there is a decrease in both the demand and the supply of a product?
- The equilibrium price and quantity in the market for the product will rise
 - The equilibrium price and quantity in the market for the product will fall
 - The equilibrium price in the market for the product will fall but the change in the equilibrium quantity cannot be determined without further information
 - The equilibrium quantity in the market for the product will fall but the change in the equilibrium price cannot be determined without further information
8. What will be the impact, other things being equal, of a discovery of an improved production technique for making sun cream?
- A shift of the supply curve for sun cream down and to the right
 - A shift of the demand curve for sun cream to the left
 - A shift of the demand curve for sun cream to the right
 - A shift of the supply curve for sun cream up and to the left
9. When supply is perfectly inelastic the supply curve is:
- A horizontal straight line
 - A vertical straight line
 - A forward sloping straight line
 - A backward sloping straight line
10. For which one of the following would income elasticity be lowest?
- Foreign holidays
 - Concert tickets
 - BBQ Sausages
 - Champagne
11. 'Farmers' and 'Riverside' are two brands of yoghurt. Therefore, they can be classified as _____ and the cross price elasticity of 'Farmers' yoghurt with respect to price changes in 'Riverside' yoghurt will be _____.

The missing words are, in the correct order:

- Substitutes; zero
 - Complements; one
 - Substitutes; negative
 - Substitutes; positive
12. Market research suggests, when other things are equal, a 5% rise in the price of cola will lead to a 2% fall in cola sales. The price elasticity of demand for cola, therefore, is:
- Inelastic and has a value of 0.4
 - Elastic and has a value of 2.5
 - Inelastic and has a value of 3%
 - Elastic and has a value of 7%
13. Which one of the following explains why large firms dominate an industry?
- Small producers suffer from diseconomies of scale
 - Large firms can charge higher prices for their products
 - As firms increase their size, opportunities for specialisation result in a fall in the average costs of production
 - As firms increase their output, they employ more workers and labour productivity falls

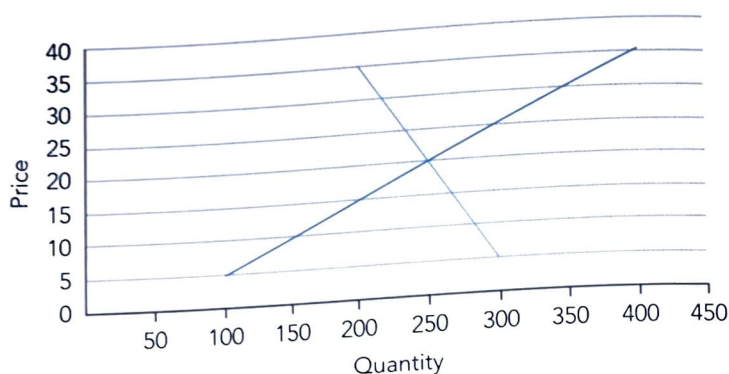
- (c) Lower prices and they will increase the quantity supplied
 - (d) Higher prices and they will increase the quantity supplied
15. Which statement is correct about the roles of firms or producers in the economy?
- (a) They employ or purchase resources or factors of production and produce goods and services
 - (b) They supply resources or factors of production and provide tax revenue for the government
 - (c) They consume goods and services and supply resources or factors of production
 - (d) They receive factor incomes and pay out consumption expenditure
16. When people shop for everyday products such as milk and bread:
- (a) No welfare is created because the market price equals consumers' marginal benefit and producers' marginal cost
 - (b) Welfare is increased for both consumers and producers
 - (c) Welfare is only increased for producers
 - (d) Welfare is only increased for consumers
17. Which of the following is true about the allocation of resources in a market?
- (a) Community surplus is minimised when resources are allocated efficiently
 - (b) Deadweight loss is maximised when resources are allocated efficiently
 - (c) Deadweight loss is zero when resources are allocated efficiently
 - (d) Consumer surplus is greater than producer surplus when resources are allocated efficiently
18. In most markets, other things being equal, a fall in production costs:
- (a) Only increases consumer surplus
 - (b) Only increases producer surplus
 - (c) Reduces total welfare or community surplus
 - (d) Increases both consumer surplus and producer consumer surplus
19. In a market the government sets a maximum price that is below the current equilibrium price. This will result in:
- (a) A lower price for all consumers who want to buy the product
 - (b) A shortage in the market and a potential black market
 - (c) A surplus in the market and a stockpile of unsold products
 - (d) Subsidies for consumers who buy the product
20. The government may fail to correct market failure because:
- (a) They lack the information needed to make sound economic choices
 - (b) They cannot produce public goods since they are both rival and excludable
 - (c) Merit goods are always under-provided
 - (d) The price mechanism always leads to a better allocation of resources
21. In free markets, demerit goods with negative consumption externalities tend to be:
- (a) Under-produced
 - (b) Over-produced
 - (c) Over-priced
 - (d) Not produced at all because of free-riders

22. The use of WA's ground water supplies, such as the Gnangara Mound, need to be controlled because they are:
- (a) Public goods
 - (b) Natural or club resources
 - (c) Common access resources
 - (d) Merit goods
23. Which of the following would be an effective response to the overuse of common access resources?
- (a) The use of a sales tax on products made using the resource
 - (b) The introduction of additional government subsidies
 - (c) Raising profits tax on producers using the resource
 - (d) Assigning property rights over the common access resources
24. Natural monopolies tend to develop when:
- (a) The range over which producers receive economies of scale is bigger than the overall size of the market
 - (b) The range over which producers receive economies of scale is smaller than the overall size of the market
 - (c) There are no barriers to entry for new firms wishing to enter the market
 - (d) Start-up capital costs are low and the size of the market is growing

SECTION 2 – DATA INTERPRETATION/SHORT ANSWERS (36 MARKS)

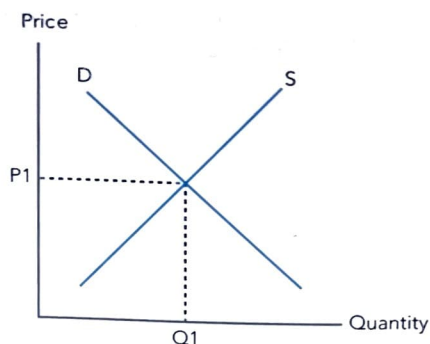
Attempt all three questions in this section. Each question is worth 12 marks.

25. This question refers to the demand and supply for flowers per week.

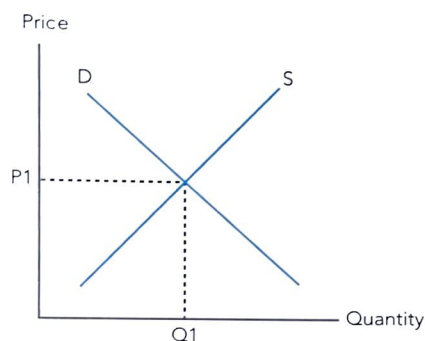


- (a) Label the demand and supply curves. [1 mark]
 - (b) When the price of flowers rises from \$20 to \$35 what is the percentage change in the price of flowers? Use either the point method, or mid-point method for your calculation. [1 mark]
 - (c) When the price of flowers rises from \$20 to \$35, demand falls from 250 to 200 per week. Calculate the percentage change in quantity of flowers demanded. Use either the point method, or mid-point method for your calculation. [1 mark]
 - (d) Calculate the price elasticity of demand for the flowers for the price rise from \$20 to \$35. [1 mark]
 - (e) Use the 'revenue test' to determine whether demand was relatively elastic or inelastic during this price range. Show your working. [1 mark]
 - (f) Outline three factors that would affect the price elasticity of demand for flowers. [3 marks]
 - (g) Better horticultural technology increases the supply of flowers in the market by 50 units at each price level. Show the effect of this on the graph. [2 marks]
 - (h) Describe the effect of the increase in supply on consumers and retailers. [2 marks]
26. Given the economic problem of relative scarcity, it is important that resources are used in the best way to satisfy the wants and needs of members of society. There are several meanings of the term 'efficiency' but they all link to how markets allocate scarce resources. Normally the price mechanism does this well, but there are occasions when markets can fail.
- (a) Define the term 'efficiency' [2 marks]
 - (b) Define the term 'economic problem' [2 marks]

- (c) On the diagram below identify (i) consumer surplus and (ii) producer surplus. [2 marks]



- (d) Show on the diagram below what happens to community surplus (or total welfare) if the quantity traded in the market is about 50% below Q_1 . [2 marks]



- (e) Describe two situations that might cause too few resources to be allocated to a market. [4 marks]

27. The table shows estimates of annual costs and benefits of use of speed and red light cameras in a city.

	Number	Cost (installation and operation)	Fines collected by government	Value of reduced accidents
Speed cameras	400	\$10m	\$6m	\$30m
Red light cameras	200	\$3.5m	\$1.5m	\$6m

Supporters of speed and red light cameras claim they reduce accidents. Even though the revenue collected from motorists caught by these cameras is less than the cost of their installation and operation they are justified because they save lives and reduce injuries of drivers and other road users.

Opponents of the cameras argue that they are simply revenue-raising devices for the government. According to these arguments, the cameras add to the cost of motoring and are a source of government failure. They argue poor driving rather than speeding is the main cause of traffic accidents.

- (a) Based on data in the table, what term would be used by an economist to describe speed and red light cameras? Justify your choice. [2 marks]
- (b) With the help of an appropriate diagram, show that more speed and red light cameras will be installed when the benefits from a reduction in accidents is taken into account. [3 marks]
- (c) Explain the key points of the diagram you have drawn. [3 marks]
- (d) Discuss the view that speed and red light cameras are, in fact, an example of government failure. [4 marks]

SECTION 3 – LONG WRITTEN ANSWERS (40 MARKS)

Answer two questions. Each question is worth 20 marks.

28. (a) Describe the characteristics of a market. [4 marks]
- (b) Distinguish between a product market and a factor market. Give examples of both types of market. [4 marks]
- (c) Explain three (3) main factors that affect the demand for car workers. [12 marks]
29. (a) Explain the concept of 'price elasticity of demand'. [2 marks]
- (b) Explain the key factors that determine the price elasticity of demand for a household product. [8 marks]
- (c) Explain what a producer can do to cause a favourable (or profitable) change in the price elasticity of demand for their product. [10 marks]
30. (a) Explain, with examples, the concepts of the economic problem, scarcity, opportunity cost and the production possibility frontier. [10 marks]
- (b) Explain why the Australian Government becomes involved in addressing the key questions of what, how, how much and for whom to produce. [10 marks]
31. (a) Define the term 'common property resources' and give two different realistic examples of situations where they occur. [4 marks]
- (b) Explain why a 'tragedy of the commons' can develop where there is open access to common property resources. [6 marks]
- (c) Describe three (3) policy measures the government could use to prevent market failure where there are common property resources. [10 marks]